

PB16 Contract 01 - subcontractor due diligence and management playbook Demo Agreement

This synthetic agreement is between Siemens Legal Operations and Subcontracting Counterparty 01. It is generated for Lou contract review demos and is not legal advice.

1. Commercial Background.

The parties are entering a transaction governed by playbook PB16: subcontractor due diligence and management playbook. The commercial purpose is: A playbook detailing the processes for vetting, managing, and maintaining compliance with subcontractors.

2. Subcontractor background checks and verification.

Preferred drafting position: Verify credentials through official records. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

3. Subcontractor insurance coverage requirements.

Preferred drafting position: Confirm valid general liability insurance. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

4. Subcontractor bonding and surety requirements.

Fallback drafting position: Verify bond validity through surety companies. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

5. Subcontractor compliance with labor laws.

Escalation issue: Non-compliance with core labor laws. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

6. Subcontractor data privacy and cybersecurity protocols.

Preferred drafting position: Confirm GDPR/CCPA compliance and data encryption. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

7. Subcontractor tax compliance and reporting.

Preferred drafting position: Verify tax ID and tax filings. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

8. Subcontractor environmental compliance standards.

Fallback drafting position: Review waste management and disposal protocols. The parties shall keep records showing compliance, notify each other of material deviations, and escalate unresolved issues to legal operations within five business days.

9. Subcontractor contractual performance metrics.

Preferred drafting position: Define clear KPIs and performance benchmarks. The parties shall keep records showing compliance, notify each other of material deviations, and escalate

unresolved issues to legal operations within five business days.

10. Operational Exception.

The supplier may use experimental workflow tooling for internal reporting without prior written approval, provided no regulated data is exported. This clause is intentionally outside some playbook coverage so Lou can surface unmapped review findings.

11. Signatures.

The parties agree to the terms above through duly authorized representatives.